

NFL International Home Marketing Areas

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MKTG 411: Multi-National Marketing

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15 December 2022

Background

American Football repeatedly dominates its athletic counterparts as the top sport in the United States. The National Football League (NFL) averaged 17 million regular-season viewers in 2021 and grossed over 110 million views for the 2022 Super Bowl (“2021 NFL Regular Season...”). Despite these impressive numbers, American football’s global popularity is limited. A large majority of their views and grossed revenue came from domestic channels. Globally, soccer and other sports such as cricket and rugby dominate viewership (Naismith). In efforts to tackle a wider global audience, the NFL initiated the International Home Marketing Areas (IHMA) to facilitate the increased global viewership of American football by assigning different NFL clubs to different countries, essentially tethering a fanbase to each territory.

In order to better comprehend the NFL’s marketing strategy for the International Home Marketing Areas, the domestic market must first be understood. Similar to the division of the IHMA, the NFL uses mostly geographical consumer segmentation, targeting different markets by state. There are 22 states that have at least one NFL team and 32 NFL teams in total. For states left without teams, they can choose the closest local team to claim as their own. This distance determination strategy, however, only works for one international market, Mexico. While there are other ways to choose a team to root for, assigning a team to a region makes the process easier and more standardized. Moreover, rooting for the same team unifies a community and pushes competitiveness.

Global Marketing Management

There are currently 30 IHMA clubs represented by 19 teams in 10 different countries, some countries hosting multiple teams and some teams also being in more than one country (“NFL Announces Additional International...”). To better illustrate the categorization, refer to the below table.

MARKET	TEAMS
Australia	Los Angeles Rams, Philadelphia Eagles
Brazil	Miami Dolphins
Canada	Minnesota Vikings, Seattle Seahawks
China	Los Angeles Rams
Germany	Carolina Panthers, Kansas City Chiefs, New England Patriots, Tampa Bay Buccaneers
Ghana	Philadelphia Eagles
Mexico	Arizona Cardinals, Dallas Cowboys, Denver Broncos, Houston Texans, Kansas City Chiefs, Las Vegas Raiders, Los Angeles Rams, Pittsburgh Steelers, San Francisco 49ers
New Zealand	Los Angeles Rams, Philadelphia Eagles
Spain	Chicago Bears, Miami Dolphins
United Kingdom	Chicago Bears, Jacksonville Jaguars, Miami Dolphins, Minnesota Vikings, New York Jets, San Francisco 49ers

The IHMA efforts are the optimal example of international marketing as their entire purpose is to “grant NFL clubs access to international territories for marketing, fan engagement and commercialization as part of a long-term, strategic effort to enable clubs to build their global brands while driving NFL fan growth internationally(“NFL Announces...”)." The uniqueness and uncertainty surrounding the global environment make expanding the NFL internationally an arduous task. What is unique about the IHMA initiative is that marketers must market pre-existing and (for most) distanced teams of an almost exclusively-American sport to countries with small or unorganized fanbases. While it could be in the future of the NFL, there is currently no set plan to add

an international team to the 32-team roster. Therefore, NFL marketers must figure out what pushes consumers in these IHMA areas to support faraway contenders. For instance, while the IHMA initiative is new, the NFL has been playing in London since 2007. While this seems to be demonstrating fan loyalty and interest, Business Insider says the novelty is beginning to wear off. Journalist Barnaby Lane argues that until the NFL franchises in London, the experience will continue to be flat (Lane). As stated previously, the consumer market is basically pre-segmented by birth in the US, as many fans are born into a fanbase depending on their state of birth or their family's team. The unorganized and uncertain fanbase presents a range of uncontrollable factors in foreign markets.

The success of the IHMA initiative will be reliant on its ability to plan, organize, and adapt in the coming years. The planning and organization will be continuously evaluated, but the current management of their global marketing has been favorable for profit and brand expansion. The NFL's international planning process was airtight, screening various countries and strategically choosing which national markets would best respond to the expansion of American football. The NFL then segmented the general market by country but left room for many countries to further segment themselves with the choice of multiple teams (as seen in the table above). While the chosen entry mode is currently limited, licensing and franchising may be in the future. Overall, the NFL's new leap into the foreign markets has paid off. While some may argue the novelty is wearing away, Bloomberg reports that fans are optimistic and say interest is booming (Maguire). The initiative has only taken off relatively recently, at the beginning of 2022, but the NFL has still shown great international marketing efforts and reaped its rewards.

Adaptation in Foreign Markets

While a large majority of people aren't actual team members, the NFL's teams are an example of a social institution where membership is implicit and for many, participation and

following the norms, rituals, and themes are important. This is not exclusive to American football, but the NFL has created a mainstream social institution that shapes American culture and has large implications for marketing domestically and abroad. If the NFL hopes to replicate the role of its teams in other countries, it had to adapt its marketing strategies in multiple ways.

One of the ways the NFL has done this is through the expansion of their preexisting international series, where NFL teams go overseas, mostly to the United Kingdom, to play in front of foreign audiences. In 2022, after the expansion of the IHMA initiative, the NFL announced five international games to be played, three in the UK and two more in Germany and Mexico. These are all IHMA club markets and this was also the broadest expansion of the series to date, adding Germany to the list for the first time (Fischer). In 2021 when the NFL game in Germany was just talk, Forbes reported that since 2017, Germany's viewership of NFL regular-season football had risen by 20% (Reimann). To capitalize on this growing interest, the NFL placed the third most IHMA clubs in the country and hosted its first-ever game in Munich, Germany.

Similarly, the Carolina Panthers recently made waves in Munich. Taking advantage of their IHMA club status, the Panthers joined hands with Bundesliga's Eintracht Frankfurt in a revolutionary partnership (NFL Panthers). This will entail partnered marketing events for both teams, including a Superbowl watch party hosted by Eintracht in 2023. Bundesliga, Germany's professional soccer league, is one of the most valuable allies the NFL could make. This alliance eases the competition between the NFL, a new market entrant, and the Bundesliga, a professional sports team powerhouse, demonstrating the importance of strategic international alliances. In addition to this partnership, the Panthers hosted a variety of training camps and flag football tournaments to increase children's interest in football.

This same strategy was seen in Mexico City before the San Francisco 49ers and Arizona Cardinals took the field in Mexico for the first time since 2019. Apart from the NFL youth camps,

meet and greets, and official watch parties hosted by the teams were found throughout Mexico City. Both teams are IHMA clubs for Mexico and Mexico is home to the largest NFL fanbase outside of the US. While the short distance between Mexico and the US connects the fans, the marketing still needed to adapt to the large Spanish-speaking market. The Cardinals had sent Luis Hernandez, their Spanish commentator, to Mexico City in April to announce draft picks. In a combined effort to market the international expansion of the NFL, drafts were also announced from other IHMA markets. Brazilian soccer player Filipe Luis joined the Jaguars as they announced their draft pick from the famous Christ the Redeemer statue in Rio de Janeiro (Alvarado). The Panthers announced their pick from the Eintracht stadium where they would play later into the year. These were the initial marketing efforts to include the IHMA fans in an important NFL event. These are all examples of how important compatibility and adaptation are for the survival and success of multinational firms.

Conclusion/Expected Future Development

With the short-term success of the IHMA in Mexico, the United Kingdom, and Germany, the NFL will surely begin to expand more aggressive marketing tactics to the other seven countries, likely hosting more international series games in these places in the future. Strategic alliances, specifically with soccer clubs, will likely prove to be an increasingly important factor in the quick diffusion of American football and its accompanying culture in foreign markets. Additionally, targeting the specific market segment of foreign *children* will become an essential long-term marketing strategy. Hosting training camps and tournaments and incorporating kids into American football culture will amass a large youth audience that will grow to love the sport and pass the love to younger generations. The NFL has shown thorough planning and a strong commitment to adapting to and advancing the global market. While the IHMA initiative is still young, it's an ingenious campaign that will progress the American football industry in the coming years.

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